

IN THE COMMON PLEAS COURT OF MIAMI COUNTY, OHIO
GENERAL DIVISION

THE OTHER WOMAN AND THE	:	CASE NO. 24 CV 498
WIFE, LLC,	:	
	:	JUDGE STACY M. WALL
Plaintiff/Counterclaim	:	
Defendant	:	
vs.	:	
KRISTEN JACOBS,	:	DECISION AND JUDGMENT
	:	ENTRY DENYING
Defendant/Counterclaim	:	DEFENDANT'S MOTION TO
Plaintiff	:	COMPEL ARBITRATION
vs.	:	
CHELSEA SMALLWOOD, <i>et al.</i> ,	:	
Counterclaim Defendants.	:	

This matter is before the Court on the Motion to Compel Arbitration or Stay Pending Arbitration, filed by Defendant, Kristen Jacobs (“Jacobs”). Plaintiff, The Other Woman and The Wife, LLC (“TOW”), filed a Memorandum in Opposition, with Jacobs filing a Reply in Support. Being fully briefed, the matter is now ripe for decision¹. For the reasons set forth below, Defendant’s Motion is denied.

I. PROCEDURAL BACKGROUND

In order to place Jacobs’ Motion in context, a brief summary of the parties’ claims and a review of underlying facts and documents is set forth below.

A. Summary of Claims

TOW’s Complaint seeks recovery from Jacobs for Tortious Interference with

¹ Neither party requested an evidentiary or oral hearing on Jacob’s Motion or an opportunity to conduct discovery on any related issue. Therefore, with both parties having submitted memoranda in support and other written/evidentiary materials, the Court issues this decision without further proceedings. *Haight v. Cheap Escape Co.*, (2nd Dist.), 2013-Ohio-182, ¶ 28, (a party’s failure to request a hearing and submission of written evidentiary materials in the form of briefs and other documentation waives any right to hearing under R.C. 2711.03); *Chrysler Fin. Servs. v. Henderson*, (4th Dist.), 2011-Ohio-6813, ¶ 21, (holding a hearing is not required on a motion to stay case pending arbitration made pursuant to R.C. 2711.02).

Contractual Relations and Tortious Interference with Business Relations. According to TOW, it runs an “on-line support community for women healing from an experience with infidelity” using a “subscription-based platform,” with each community member having a contract with TOW and paying membership fees. Complaint at ¶¶ 3, 12-13. TOW alleges Jacobs joined its on-line community under false pretenses, after learning her spouse was having an affair with a community member, in order “to uncover and expose” community members, among other activities. Complaint at ¶¶ 4-7. TOW claims Jacobs intended for her actions to interfere with TOW’s contracts/business relationships with other community members and that her actions required the community to be “taken down for a period of time” resulting in a “substantial loss of subscription-based revenue.” Complaint at ¶¶ 7-8, 14, 20.

In her Answer and Counterclaim/Third Party Complaint (“Answer” and/or “Counterclaim/TPC” as relevant), Jacobs generally denies liability but admits to joining TOW’s online community, that the community is fee based, and that her husband had an affair with another community member, Third-Party Defendant, Olivia Nicodemus (“Nicodemus”). Answer at ¶¶ 3-5. Jacobs specifically denies joining the community under false pretenses and, relevant to this motion, asserts she has a right to and does not waive arbitration of the parties’ dispute. Answer at fn. 1, ¶¶ 5, 9, and p. 5 at “Second Additional Defense”.

Jacobs’ Counterclaim/TPC asserts claims against TOW, TOW’s owner/founder, Third-Party Defendant Chelsea Smallwood (“Smallwood”), and Third-Party Defendant Nicodemus, who is identified as an agent/employee of TOW. Counterclaim/TPC at ¶¶ 2-4. While the Counterclaim/TPC sets forth detailed allegations as to the conduct of TOW and Third Party Defendants, for purposes of this Decision the Court will summarize Jacobs’ claims as alleging that Nicodemus, purporting to be a friend of Jacobs, had an affair with Jacobs’ husband and that TOW, Smallwood, and Nicodemus wrongly: 1) disseminated details of the affair on various social media platforms to generate revenue; 2) disseminated material in the TOW online community which included details of the affair, personal/private information regarding Jacobs and her family (including pictures of minor children), and false and scandalous information regarding Jacobs personally; and 3) directly contacted Jacobs’ therapist in an effort to interfere with her treatment. Counterclaim/TPC at ¶¶ 16-18, 26, 29, 30, 33-39, 47.

Jacobs also alleges that as a fee-paying member of TOW's online community she had entered into a contract with TOW and that TOW's actions and failures to act breached that contract. Counterclaim/TPC at ¶¶ 53-56. In addition to alleging Breach of Contract, Jacobs' Counterclaim/TPC also asserts she is entitled to recovery from TOW and the Third-Party Defendants for various types of Invasion of Privacy, Defamation, Libel, Slander, Intentional Infliction of Emotional Distress, Telecommunications Harassment, and Tortious Interference with Contract (her relationship with her therapist).

B. Underlying Facts and Documents

Seeking to compel arbitration, Jacobs' Motion relies upon a "Terms of Service" document attached as Exhibit 1 to her Answer and Counterclaim/TPC. She asserts that this document sets forth her contract with TOW and that the terms of the contract require TOW to submit their dispute to arbitration. Counterclaim/TPC at ¶¶ 8-15. The face of the document states it was last updated August 12, 2024 ("2024 Terms of Service").

As a part of its opposition to Jacob's Motion, TOW filed the Affidavit of Chelsea Smallwood, owner of TOW. ("Smallwood Affidavit"). Materials attached to and authenticated by the Smallwood Affidavit include: 1) a Terms of Service document (Exhibit 2 to the Affidavit); and 2) a Privacy Policy (Exhibit 3 to the Affidavit). According to Smallwood's affidavit, the Terms of Service document attached to her affidavit was in effect on September 11, 2023, the date Jacobs became a member of TOW's online community, and had last been updated prior to that on February 7, 2023, ("2023 Terms of Service"). The affidavit also states that Jacobs' actions targeting the TOW community member violated the Privacy Policy. The parties do not dispute that Jacobs joined the TOW online community in September of 2023 or that she left the community (whether by being removed by TOW or by voluntarily cancelling her subscription) in mid-November or December of 2023. Affidavit of Chelsea Smallwood, filed December 20, 2024, at para. 10; Jacobs' Reply in Support at fn. 2.

The 2024 Terms of Service attached to Jacobs Answer and Counterclaim state that they were updated as of August 12, 2024. This is approximately 8-9 months after Jacobs exited the TOW online community in October or November of 2023. Given this timing, the 2024 Terms of Service post-date Jacobs' membership in the TOW online community and cannot establish an agreement to arbitrate between TOW and Jacobs in 2023. In contrast, the 2023 Terms of Service are identified, under oath, as being in effect during

the time Jacobs was a member of the TOW community and no testimony or documentation to the contrary was offered. Therefore, a review of the 2023 Terms of Service is in order.

The 2023 Terms of Service state that they are “a binding contract between you and CircleCo, Inc.” and that accessing and use of CircleCo, Inc.’s services demonstrate acceptance of the contract. The document describes CircleCo, Inc. as “an online community platform for creators that helps them bring their discussions, memberships, and content to their audience and community, under the creator's own brand.” The document also advises that **“THESE TERMS CONTAIN A MANDATORY INDIVIDUAL ARBITRATION AGREEMENT.”** 2023 Terms Service at p.1. (Emphasis in original). The referenced “Arbitration Agreement” is set forth under Item 15. “Dispute Resolution; Binding Arbitration,” beginning at p. 13, and states that the agreement to arbitrate applies to “any dispute, controversy, or claim between you and us that arises out of or relates to, directly or indirectly: (a) these Terms, including the formation, existence, breach, termination, enforcement, interpretation, validity, or enforceability thereof; (b) access to or use of the Services, including receipt of any advertising, marketing, or other communications from us; (c) any transactions through, by, or using the Services; or (d) any other aspect of your relationship or transactions with us, directly or indirectly, as a user or consumer[.]”

The 2023 Terms of Service do not reference TOW at any point, and at no point can TOW be identified as a party or signatory to the agreement. However, the document references third parties at several points. Relevant to Jacobs’ Motion, under Item 14. “Disputes with Third Parties,” it provides: **“ANY DISPUTE YOU HAVE WITH ANY NON-EMPLOYEE WORKER, BUYER, THIRD-PARTY SERVICE, OR OTHER THIRD PARTY, INCLUDING, WITHOUT LIMITATION, ANY OTHER USER OF THE SERVICE, IS DIRECTLY BETWEEN YOU AND THAT THIRD PARTY[.]”** 2023 Terms of Service at p. 13. (Emphasis in original). Under Item 22 “General Terms,” at p. 17, the document states, “Except as otherwise provided herein, these Terms are intended solely for the benefit of the parties and are not intended to confer third-party beneficiary rights upon any other person or entity.” The sole third-party beneficiary “otherwise provided” for in the document is Apple.

The only additional document provided by the parties is a \$78 electronic

invoice/receipt provided by TOW which reflects a September 11, 2023, payment from Jacobs for a 3-month membership.

II. ARBITRATION OF DISPUTES AND NONSIGNATORIES

Jacobs asks the Court to either compel arbitration of her dispute with TOW or, alternatively, to stay proceedings in the case pending arbitration. Revised Code Section 2711.01, et seq., reflects Ohio's strong policy favoring the arbitration of disputes. *Taylor Bldg. Corp. of Am. v. Benfield*, 117 Ohio St.3d 352, 2008-Ohio-938, ¶ 24. Within this statutory framework, R.C. 2711.01 recognizes that an agreement to arbitrate is contractual in nature; R.C. 2711.03 provides a mechanism for a party to seek a stay of a case pending the outcome of an arbitration; and R.C. 2711.03 provides a mechanism for a party to compel arbitration. It is also well established that Ohio and federal courts encourage arbitration to settle disputes. *Reyna Capital Corp. v. McKinney Romeo Motors, Inc.*, (2d Dist.), 2011-Ohio-6806, ¶ 37.

There is, normally, a strong presumption in favor of arbitration and doubts should be resolved in favor of finding a dispute covered by an arbitration clause. *Council of Smaller Ents. v. Gates, McDonald & Co.* (1998), 80 Ohio St.3d 661, 666. However, the party seeking to compel arbitration bears the burden² of establishing the existence of an enforceable arbitration agreement with the party against whom the moving party seeks enforcement. *Varge v. Soto*, (8th Dist.), 2020-Ohio-1626, ¶ 4. Consistent with R.C. 2711.01, et seq., the first principle of arbitration is that “arbitration is a matter of contract and a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” *Academy of Medicine of Cincinnati v. Aetna Health, Inc.*, 108 Ohio St.3d 185, 2006-Ohio-657, ¶ 11, citing *AT & T Technologies, Inc. v. Communications Workers of Am.* (1986), 475 U.S. 643, 650, 106 S.Ct. 1415, 89 L.Ed.2d 648. Therefore, while there is a presumption in favor of arbitration, there is a counterweighing presumption against arbitration when a party seeks to invoke an arbitration provision against a nonsignatory. *Taylor v. Ernst & Young, LLP*, 130 Ohio St.3d 411, 2011-Ohio-5262, ¶ 21.

² In civil cases the burden of proof is ordinarily carried by a preponderance of the evidence. *Cincinnati, Hamilton & Dayton Ry. v. Frye* (1909), 80 Ohio St. 289, paragraph two of the syllabus; *Cincinnati Bar Assn. v. Young*, (2000), 89 Ohio St.3d 306, 314. When a statute is silent regarding the appropriate burden of proof, a court infers that the common preponderance-of-the-evidence standard applies. *Wilson v. Ward*, (9th Dist.), 2009-Ohio-2078, ¶ 11, citing *Felton v. Felton* (1997), 79 Ohio St.3d 34, 41–42.

As noted, on its face the 2024 Terms of Service document submitted by Jacobs post-dates the timeframe when Jacobs was a member of the TOW online community. Although this document references TOW, because it post-dates the time that Jacobs was a member of the TOW online community it does not demonstrate an agreement to arbitrate between TOW and Jacobs. A review of the 2023 Terms of Service, as set forth above, reveals that while it contains an agreement to arbitrate and was in effect at the time Jacobs was a member of the TOW online community, TOW is not a signatory to that agreement. That agreement is between Jacobs and CircleCo., Inc. Because TOW is not a signatory to the 2023 Terms of Service, the presumption against arbitration applies and the Court must respect it absent a showing to the contrary. *Id.* at ¶ 32. This, however, is not the end of the inquiry.

Circumstances allowing enforcement of an arbitration agreement against a nonsignatory can arise under ordinary contract or agency principles. *Settle-Muter Elec. Ltd. v. Intertech Sec., L.L.C.*, (10th Dist.), 2018-Ohio-4839, ¶ 20. These principles include: 1) estoppel; 2) incorporation by reference; 3) assumption; 4) piercing the corporate veil; 5) alter ego; or 6) third-party beneficiary. *Id.* at ¶20, citing *Peters v. Columbus Steel Castings Co.*, 2006-Ohio-382, ¶ 13; *Jankovsky v. Grana-Morris*, (2nd Dist.), Miami County, No. 2000-CA-62, 2001 WL 1018337 (Sept. 7, 2001), *3-*4. Of these six (6) principles, Jacobs argues that TOW's status as a third-party beneficiary and equitable estoppel render TOW subject to the arbitration provisions of the 2023 Terms of Service despite its status as a nonsignatory to that agreement. The Court will examine each of these arguments.

A. Third-Party Beneficiary

Jacobs argues that even if TOW is a nonsignatory to the 2023 Terms of Service, it is still subject to the document's arbitration agreement as a third-party beneficiary, citing *Entire Energy & Renewables, LLC v. Duncan*, (10th Dist.), 2013-Ohio-4209. As noted by the Court in *Duncan*, "A third-party beneficiary is one for whose benefit a promise is made, but who is not a party to the contract encompassing the promise," citing *Berge v. Columbus Community Cable Access*, (10th Dist.), 136 Ohio App.3d 281, 303, (1999).

To determine if a nonsignatory to a contract is subject to certain promises contained in the agreement, a court must determine if the nonparty was an intended beneficiary using the "intent to benefit" test. *Glob. Pac., LLC v. Kirkpatrick*, (12th Dist.),

2017-Ohio-1332, ¶ 19. Under the “intent to benefit” test, if the promisee intends that a third-party should benefit from the contract, then that third party is an “intended beneficiary” who has enforceable rights under the contract. *Hill v. Sonitrol of Sw. Ohio, Inc.*, 36 Ohio St.3d 36, 521 N.E.2d 780 (1988). If the promisee has no intent to benefit a third party, then such a third-party beneficiary is merely an “incidental beneficiary” with no enforceable rights under the contract. *Id.* In this instance, the 2023 Terms of Service document expressly states that the agreement is “not intended to confer third-party beneficiary rights upon any other person or entity.”

Further, even when an entity or person is a third-party beneficiary, this does not automatically make them subject to the provisions of the underlying contract. A third-party beneficiary will only be bound by the terms of the underlying contract where the claims asserted by that beneficiary arise from its third-party beneficiary status. *Peters v. Columbus Steel Castings Co.*, (10th Dist.), 2006-Ohio-382, ¶ 22, *aff’d*, 2007-Ohio-4787, ¶ 22, 115 Ohio St. 3d 134. Mere status as a beneficiary does not bind a party to perform contractual duties. Instead, the obligation to arbitrate arises where a beneficiary seeks to enforce the contract. *Id.*, citing *Jankovsky v. Grana–Morris*, (2nd Dist.), Miami App. No. 2000–CA–62, 2001 WL 1018337, (Sept. 7, 2001). Neither TOW’s claims, set forth in its Complaint, nor its defenses, set forth in its Answer, seek to enforce the 2023 Terms of Service between Jacobs and CircleCo, Inc. Therefore, even if TOW was a third-party beneficiary of the 2023 Terms of Service and had enforceable rights under the agreement, under *Peters* and *Jankovsky* it is not required to arbitrate in this instance as it is not seeking to enforce any such rights.

B. Equitable Estoppel

The underlying law applicable to Jacobs’ equitable estoppel arguments overlaps with the law applicable to third-party beneficiaries. Similar to a third-party beneficiary, under equitable estoppel an obligation to arbitrate arises where a nonsignatory seeks to enforce the terms of contract against a signatory and the contract includes an arbitration provision. *Id.* For example, in *Gerig v. Kahn* the Ohio Supreme Court held that the equitable estoppel doctrine required a nonsignatory to be bound by an arbitration clause when the nonsignatory sought a declaration as to the signatories’ rights and obligations under a contract containing an arbitration clause. *Peters* at 13, citing *Gerig v. Kahn*, 95 Ohio St.3d 478, 2002–Ohio–2581, at 19.

In short, equitable estoppel prevents a party from picking and choosing the contract terms that it alleges govern its relationship with the other litigant. By accepting the benefits of the contract as against that litigant, the party must accept the burdens, including an arbitration mandate. *AtriCure, Inc. v. Meng*, 12 F.4th 516, 527 (6th Cir. 2021), citing *Fawn v. Heritage Mut. Ins. Co.*, (10th Dist.), Franklin Cty., No. 96APE12-1678, 1997 WL 359322, at * 2, (June 30, 1997). As noted above, in this instance neither TOW’s Complaint nor its Answer seek to enforce the 2023 Terms of Service between Jacobs and CircleCo, Inc. Therefore, the principle of equitable estoppel does not apply in this case.

At best, Jacobs argues that Smallwood’s Affidavit states that Jacobs violated the Privacy Policy agreed to between Jacobs and CircleCo Inc. However, TOW does not argue, and its pleadings do not assert, that TOW had any enforceable rights or protections under this policy. As to Jacobs’ assertion that TOW’s claims for tortious interference seek to enforce TOW’s contract with her and other community users, this is also incorrect. While parties cannot avoid arbitration by casting contract claims as torts, a tort claim, such as tortious interference with a contractual relationship, does not become “contractual” simply because an element of proof may relate to a contract. *Jankovsky* at *5.

In this instance, TOW’s allegations against Jacobs allege unlawful and tortious interference with TOW’s contracts with other community users. While this will require TOW to prove the existence of the contracts as an element of this tort, in making this claim TOW does not seek to enforce any right under those contracts. *Fred Siegel Co., L.P.A. v. Arter & Hadden*, 85 Ohio St.3d 171, 707 N.E.2d 853 (1999), (identifying “existence of a contract” as an element of the tort of tortious interference with contract.)

C. Applicability of Federal Arbitration Act or New York Law

Finally, the Court notes Jacobs also argues TOW is required to participate in arbitration by both the Federal Arbitration Act (“FAA”) and New York law. While the 2024 Terms of Service reference the applicability of the FAA and New York law to that agreement, as explained above, whatever agreement existed between Jacobs and TOW was terminated in October or November of 2023. On their face the 2024 Terms of Service state they were current as of August of 2024, 8-9 months after Jacobs left the TOW online community. Again, given this timeline, the 2024 Terms of Service offered by Jacobs are

inapplicable to any aspect of the parties' dispute. Although the 2023 Terms of Service also reference New York law, TOW, as noted, was not a signatory to that agreement and any requirement to apply New York law set forth in that agreement is also inapplicable to the parties' dispute. Finally, Jacobs asserts that in order for TOW to assert that she interfered with its contractual relationships with community members, TOW must have had a contract with those members and TOW has not produced any such contract. However, as the party seeking to compel arbitration, it is Jacobs, not TOW, that bears the burden of establishing the existence of an enforceable arbitration agreement and Jacobs has failed to meet that burden. *Varge, supra*.

III. CONCLUSION

For the reasons set forth above, Defendant Jacobs' Motion to Compel Arbitration or Stay Pending Arbitration is denied.

IT IS SO ORDERED.

Stacy M. Wall

JUDGE STACY M. WALL
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